

Semiconductors - Asia-Pacific

Semiconductor IP & distributor: raise PO and reiterate Buy on eMemory & WT Micro

Price Objective Change

Flagging several positives learnt from 1Q26 earnings calls

Thanks to the benefits from node migration, sustained growth in AI-related products/solutions, and some green shoots in non-AI areas, as shared in the 1Q26 earnings calls, we lift our 2027-28E net income estimates for eMemory and WT Micro by 3-4% and 7-15% respectively. The estimate changes drive an increase in our PO for eMemory to NT\$5,500 (from NT\$4,950) based on DCF valuation (unchanged), and our PO for WT Micro to NT\$320 (from NT\$270) based on 11x 2027E P/E (unchanged). We reiterate our Buy rating on both names in view of their rising exposure to AI/datacenter-related businesses.

eMemory: stronger growth profile on node migration

During the 1Q26 earnings call, eMemory's management cited sustained licensing activities in 3nm for AI (artificial intelligence) server-related projects, including controller chips, as well as extension toward high-speed interface solutions. Looking ahead, the company expects its licensing business to be boosted by increasing number of license projects from both foundry and fabless customers, while the growth in royalty revenue to continue to accelerate. Specifically, for 2026, we flag benefits from process node migration from the likes of OLED (organic light emitting diode) DDIC (display driver integrated circuit) to 16nm, and PMIC (power management integrated circuit) to 55nm from 8"-based process. In view of eMemory's solid position in eNVM (embedded non-volatile memory) IP (intellectual property) with content increase along with node advancement and penetration increase by PUF (physically unclonable function) solutions, we reiterate our Buy rating.

WT Micro: continuous boost by datacenter business

WT Micro's 2Q26 revenue growth should still be mainly driven by datacenter and communication businesses (which are more relevant to AI servers), in our view. At the same time, we see some green shoots from non-AI-related businesses, thanks to Future Electronics' ongoing recovery. Specifically for AI-related businesses, we flag benefits from significantly higher ROWC (return on working capital) for the company, despite a softer GM (gross margin) profile. Eyeing on a 'stronger for longer' growth in datacenter business via Broadcom's TPU (tensor processing unit), we reiterate our Buy rating on WT Micro.

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Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3729
mike.c.yang@bofa.com

Haas Liu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3727
haas.liu@bofa.com

Cathy Hsu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3726
cathy.hsu3@bofa.com

Exhibit 1: Summary of PO changes

We raise our POs for eMemory and WT Micro in this report

Company	Ticker	PO (NT\$)	
		New	Old
eMemory	3529 TT	5500	4950
WT Micro	3036 TT	320	270

Source: BofA Global Research

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Refer to important disclosures on page 7 to 10. Analyst Certification on page 5. Price Objective Basis/Risk on page 4.

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Exhibit 2: Summary of changes in PO and valuation method

We raise our POs for eMemory and WT Micro with unchanged valuation method

Company	Ticker	PO (NT\$)		Valuation method	
		New	Old	New	Old
eMemory	3529 TT	5500	4950	DCF (unchanged)	
WT Micro	3036 TT	320	270	11x 2027E P/E (unchanged)	

Source: BofA Global Research

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Exhibit 3: Table of recommendations

Stocks mentioned with ratings in this report

BofA ticker	Ticker	Company name	Price (LC)	Rating
XYLWF	3529 TT	eMemory	NT\$ 4115	C-1-7
XZOPF	3036 TT	WT Micro	NT\$ 275.5	B-1-7

Source: BofA Global Research, company data

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Exhibit 4: Earnings estimate changes – eMemory

We raise 2027/28E EPS by 4%/5% after baking in the assumption of stronger revenue growth

NT\$m	2026E			2027E			2028E		
	New	Old	Diff	New	Old	Diff	New	Old	Diff
Revenue	5,274	5,306	-1%	6,722	6,531	3%	8,146	7,861	4%
Gross profit	5,274	5,306	-1%	6,722	6,531	3%	8,146	7,861	4%
Gross margin	100.0%	100.0%	0.0ppt	100.0%	100.0%	0.0ppt	100.0%	100.0%	0.0ppt
Opt income	3,486	3,552	-2%	4,729	4,697	1%	5,964	5,856	2%
OPM	66.1%	67.0%	-0.9ppt	70.4%	71.9%	-1.6ppt	73.2%	74.5%	-1.3ppt
Pretax income	3,598	3,657	-2%	4,924	4,811	2%	6,166	5,979	3%
Pretax margin	68.2%	68.9%	-0.7ppt	73.2%	73.7%	-0.4ppt	75.7%	76.1%	-0.4ppt
Net income	3,069	3,098	-1%	4,194	4,068	3%	5,245	5,056	4%
EPS (NT\$)	41.1	41.1	0%	56.2	54.0	4%	70.2	67.1	5%

Source: BofA Global Research estimates

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Exhibit 5: BofAe vs consensus – eMemory

We are 12%/3% ahead of consensus for 2026/27E EPS, due partly to the assumption of stronger operating leverage

NT\$m	2026E			2027E		
	BofA	Consensus	Diff	BofA	Consensus	Diff
Revenue	5,274	4,944	7%	6,722	6,703	0%
Gross profit	5,274	4,944	7%	6,722	6,703	0%
GPM	100.0%	100.0%	0.0ppt	100.0%	100.0%	0.0ppt
Opt income	3,486	3,214	8%	4,729	4,681	1%
OPM	66.1%	65.0%	1.1ppt	70.4%	69.8%	0.5ppt
Pretax income	3,598	3,309	9%	4,924	4,806	2%
Pretax margin	68.2%	66.9%	1.3ppt	73.2%	71.7%	1.5ppt
Net income	3,069	2,745	12%	4,194	4,062	3%
EPS (NT\$)	41.1	36.8	12%	56.2	54.4	3%

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH



Exhibit 6: Income statement - eMemory

We expect the company's revenue growth to sustain at 20+% level during 2026-28E

NT\$mnn; %	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	1,094	1,020	1,384	1,777	1,663	1,367	1,697	1,996	3,849	5,274	6,722	8,146
Cost of Revenue	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	1,094	1,020	1,384	1,777	1,663	1,367	1,697	1,996	3,849	5,274	6,722	8,146
Operating exp	(432)	(413)	(451)	(492)	(491)	(471)	(500)	(531)	(1,597)	(1,788)	(1,993)	(2,182)
Operating income	662	606	933	1,284	1,172	896	1,197	1,464	2,252	3,486	4,729	5,964
Non-opt net	33	26	27	26	47	49	50	47	32	112	194	202
Income before tax	695	633	960	1,310	1,220	945	1,247	1,512	2,285	3,598	4,924	6,166
Income Tax	(99)	(101)	(139)	(190)	(183)	(147)	(181)	(219)	(366)	(529)	(729)	(921)
Net income	596	532	821	1,120	1,037	799	1,066	1,293	1,912	3,069	4,194	5,245
EPS (NT\$)	8.0	7.1	11.0	15.0	13.9	10.7	14.3	17.3	25.6	41.1	56.2	70.2
Margin; tax rate												
Gross margin	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Operating expenses	39%	41%	33%	28%	30%	34%	29%	27%	41%	34%	30%	27%
Operating margin	61%	59%	67%	72%	70%	66%	71%	73%	59%	66%	70%	73%
Pretax margin	64%	62%	69%	74%	73%	69%	73%	76%	59%	68%	73%	76%
Net margin	54%	52%	59%	63%	62%	58%	63%	65%	50%	58%	62%	64%
Tax rate	14%	16%	15%	15%	15%	16%	15%	15%	16%	15%	15%	15%
Sequential growth %												
Revenue	4%	-7%	36%	28%	-6%	-18%	24%	18%	7%	37%	27%	21%
Gross profit	4%	-7%	36%	28%	-6%	-18%	24%	18%	7%	37%	27%	21%
Operating exp	5%	-4%	9%	9%	0%	-4%	6%	6%	-1%	12%	11%	10%
Operating income	4%	-8%	54%	38%	-9%	-24%	34%	22%	13%	55%	36%	26%
Net income	6%	-11%	54%	36%	-7%	-23%	34%	21%	4%	61%	37%	25%

Source: BofA Global Research estimates, company data

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Exhibit 7: Earnings estimate changes – WT Micro

We raise 2026-28E net income by 7-21% after baking in the assumption of stronger revenue growth

(NT\$mnn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	2,232,442	2,024,764	10.3	2,815,628	2,508,893	12.2	3,332,383	3,074,776	8.4
Gross profit	73,521	64,408	14.1	89,256	78,582	13.6	104,080	96,034	8.4
Gross margin	3.3%	3.2%	0.1 ppt	3.2%	3.1%	0.0 ppt	3.1%	3.1%	0.0 ppt
Operating profit	44,286	35,662	24.2	56,027	47,357	18.3	68,125	61,531	10.7
Operating margin	2.0%	1.8%	0.2 ppt	2.0%	1.9%	0.1 ppt	2.0%	2.0%	0.0 ppt
Pretax income	38,854	32,389	20.0	49,304	42,949	14.8	61,550	57,294	7.4
Pretax margin	1.7%	1.6%	0.1 ppt	1.8%	1.7%	0.0 ppt	1.8%	1.9%	0.0 ppt
Net income	30,712	25,449	20.7	37,137	32,409	14.6	46,400	43,188	7.4
Net margin	1.4%	1.3%	0.1 ppt	1.3%	1.3%	0.0 ppt	1.4%	1.4%	0.0 ppt
EPS (NT\$)	24.70	19.40	27.3	29.86	24.70	20.9	37.31	32.92	13.4

Source: BofA Global Research estimates

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Exhibit 8: BofAe vs consensus – WT Micro

We are 27%/20% ahead of consensus for 2026/27E net income, given the assumptions of stronger revenue growth and operating leverage

(NT\$mnn)	2026E			2027E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	2,232,442	2,033,962	9.8	2,815,628	2,596,421	8.4
Gross profit	73,521	65,087	13.0	89,256	77,893	14.6
Gross margin	3.3%	3.2%	0.1 ppt	3.2%	3.0%	0.2 ppt
Operating profit	44,286	34,785	27.3	56,027	43,534	28.7
Operating margin	2.0%	1.7%	0.3 ppt	2.0%	1.7%	0.3 ppt
Pretax income	38,854	31,114	24.9	49,304	39,710	24.2
Pretax margin	1.7%	1.5%	0.2 ppt	1.8%	1.5%	0.2 ppt
Net income	30,712	24,267	26.6	37,137	30,888	20.2
Net margin	1.4%	1.2%	0.2 ppt	1.3%	1.2%	0.1 ppt
EPS (NT\$)	24.70	19.52	26.6	29.86	24.84	20.2

Source: BofA Global Research estimates, Bloomberg



Exhibit 8: BofAe vs consensus – WT Micro

We are 27%/20% ahead of consensus for 2026/27E net income, given the assumptions of stronger revenue growth and operating leverage

(NT\$m)

2026E

2027E

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Exhibit 9: Income statement – WT Micro

We expect the company's operating margin to stay at ~2% in 2026-28E

NT\$m; %	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	494,273	559,915	591,489	586,765	611,205	680,694	747,116	776,613	1,177,949	2,232,442	2,815,628	3,332,383
Cost of Revenue	-477,229	-541,438	-572,266	-567,988	-591,341	-658,911	-723,582	-752,538	-1,130,325	-2,158,921	-2,726,372	-3,228,303
Gross profit	17,044	18,477	19,223	18,776	19,864	21,782	23,534	24,075	47,624	73,521	89,256	104,080
Operating exp	-7,100	-7,055	-7,423	-7,657	-8,007	-8,236	-8,442	-8,543	-26,742	-29,235	-33,228	-35,955
Operating income	9,944	11,422	11,800	11,119	11,857	13,546	15,092	15,532	20,882	44,286	56,027	68,125
Non-opt net	-922	-1,525	-1,441	-1,544	-1,670	-1,680	-1,673	-1,699	-3,483	-5,432	-6,723	-6,575
Income before tax	9,022	9,898	10,359	9,575	10,187	11,865	13,418	13,834	17,399	38,854	49,304	61,550
Income Tax	-2,006	-1,980	-2,072	-2,011	-2,343	-3,441	-3,220	-3,043	-3,833	-8,068	-12,048	-15,030
Net income	7,016	7,918	8,287	7,564	7,844	8,424	10,198	10,790	13,566	30,786	37,257	46,520
EPS (NT\$)	6.1	6.9	6.6	6.1	6.3	6.8	8.2	8.7	12.0	25.7	29.9	37.3
Margin %												
Gross margin	3.4%	3.3%	3.2%	3.2%	3.3%	3.2%	3.2%	3.1%	4.0%	3.3%	3.2%	3.1%
Operating expenses	1.4%	1.3%	1.3%	1.3%	1.3%	1.2%	1.1%	1.1%	2.3%	1.3%	1.2%	1.1%
Operating margin	2.0%	2.0%	2.0%	1.9%	1.9%	2.0%	2.0%	2.0%	1.8%	2.0%	2.0%	2.0%
Pretax margin	1.8%	1.8%	1.8%	1.6%	1.7%	1.7%	1.8%	1.8%	1.5%	1.7%	1.8%	1.8%
Net margin	1.4%	1.4%	1.4%	1.3%	1.3%	1.2%	1.4%	1.4%	1.2%	1.4%	1.3%	1.4%
Sequential growth %												
Revenue	44.5%	13.3%	5.6%	-0.8%	4.2%	11.4%	9.8%	3.9%	22.8%	89.5%	26.1%	18.4%
Gross profit	33.2%	8.4%	4.0%	-2.3%	5.8%	9.7%	8.0%	2.3%	26.7%	54.4%	21.4%	16.6%
Operating exp	4.4%	-0.6%	5.2%	3.2%	4.6%	2.9%	2.5%	1.2%	19.7%	9.3%	13.7%	8.2%
Operating income	66.0%	14.9%	3.3%	-5.8%	6.6%	14.2%	11.4%	2.9%	36.8%	112.1%	26.5%	21.6%
Net income	67.1%	12.9%	4.7%	-8.7%	3.7%	7.4%	21.1%	5.8%	47.4%	126.9%	21.0%	24.9%

Source: BofA Global Research estimates, company data

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Price objective basis & risk**eMemory (XYLWF)**

Our PO of NT\$5,500 is based on a discounted cash flow (DCF) approach, with weighted average cost of capital (WACC) 7% and terminal growth rate of 3%.

Downside risks are:

- (1) wafer price drop due foundry competition/over-capacity, especially in 28nm and more advanced process, which could curtail the revenue incurred from royalty business for eMemory
- (2) weaker-than-expected node migration, which may slow down the adoption increase of NeoFuse technology offered by eMemory
- (3) slower-than-expected IP development due to bottleneck or challenge in talent acquisition, which may cause negative impact to the company's long-term growth potential
- (4) other types of memory emerge to replace key solutions/IPs offered by eMemory.

WT Microelectronics (XZOPF)

We base our PO NT\$320 on 11x 2027E P/E, which is at the mid-to-high-end of its historical trading range of 4-15x. This is justified in our view, given the support from: 1) an operating margin of 2.0-2.1% in 2027-28E, 2) improving ROE toward 26-27% in 2027-28E (vs 12% in 2024-25), and 3) 23% EPS CAGR during 2026-28E.



Upside risks to our PO are:

- 1) faster-than-expected demand recovery in auto/industrial verticals, especially from US/Europe market
- 2) a lower interest rate that could alleviate the company's financial burden at non-operating level.

Downside risks to our PO are:

- 1) a revenue decline in datacenter/server related business, which has been the key growth driver during 2021-24
- 2) market share loss as suppliers or customers seek other distributors' help after WT Micro consolidates Future Electronics.
- 3) Potential overhang from share dilution.

Analyst Certification

I, Mike Yang, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRI	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	GXGIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Mike Yang
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	XPZCF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Kinik	KIKCF	1560 TT	Haas Liu
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	Novatek	NVKMF	3034 TT	Haas Liu
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu



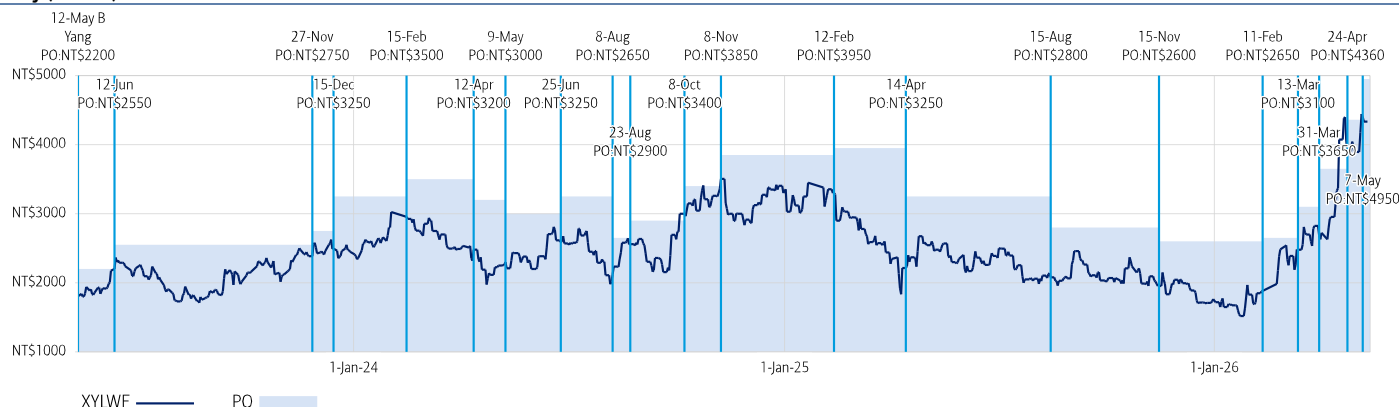
APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	XWIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

Disclosures

Important Disclosures

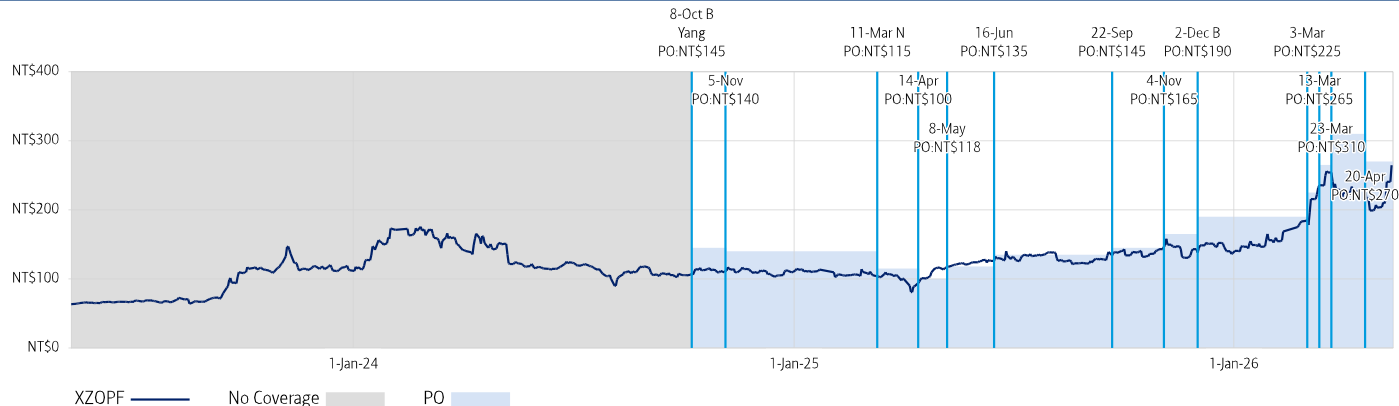
eMemory (XYLWF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

WT Micro (XZOPF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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